

What matters to today's consumer

2025 consumer behavior tracker for the consumer product and retail industries

Capgemini RESEARCH INSTITUTE

#GetTheFutureYouWant

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Executive summary

Technological innovation, shifting financial priorities, and increasing sustainability awareness drive the evolution of consumer preferences and purchasing behaviors. This report identifies key trends shaping the consumer landscape.

Consumer clusters: A new way to categorize buyer behaviors.

We identified five distinct behavior clusters based on the sub-themes on which questions were asked in the consumer survey. Each cluster presents unique opportunities for targeted marketing strategies, reflecting their distinct lifestyles and priorities. The Gen Z consumers are present in three different clusters and exhibit different behaviors.

Paths to discovery: How the consumer finds products is changing

Gen AI gains traction with the consumer

Generative AI (Gen AI) is transforming shopping experiences, with nearly one in four consumers using generative AI to shop and 68% of consumers prepared to act on its recommendations. The preferences of younger cohorts, particularly Gen Z and millennials, for hyper-personalization and seamless digital experiences are driving this trend.

- Nearly 60% of consumers have already replaced traditional search engines by Gen AI tools for product recommendations
- More than 50% of consumers use visual and voice for product searches and purchase.
- Increased Gen AI usage is not meeting needs as consumer satisfaction has reduced

Personal and planetary wellbeing: How sustainability and eating habits influence consumer choices

Sustainability is a critical factor in purchasing decisions for 64% of consumers overall. Initiatives such as carbon labelling and food-waste reduction resonate strongly.

- The proportion of consumers who have paid a premium of 1-5% more for sustainable products this year has shifted from 30% to 38%.
- 71% of consumers are aware of the contribution of food waste to environmental issues.

Executive summary

Social commerce is the retailer's route to Gen Z

Platforms such as Instagram and TikTok are reshaping retail, with 53% of Gen Z purchasing new products through social media.

- The share of consumers purchasing new products or brands through social media increased from 24% in late 2023 to 32% in late 2024.
- 27% of consumers say they frequently use social media for customer service
- 68% of Gen Z consumers have discovered a new product/ brand on social media.

Retail media networks: Capturing the shopper's attention

Retailers are channeling investment operations. Advertisements on retailers' apps and websites garner the highest attention across all channels.

- 67% of consumers notice ads on retailer websites or apps when they search for a product, compared with 63% on social media.
- Online adverts, while shopping, influenced nearly one-third of online purchases.

How are people shopping?

Make it snappy: The growing demand for quick commerce

Quick commerce, supported by advanced logistics and AI, is set to dominate, with consumers willing to pay for speed.

- Consumer preference for quick delivery has surged significantly over the past two years. The share of consumers stating 2-hour delivery as an important service attribute when they shop for jumped from 34% in 2022 to 65% in 2024.
- Overall, consumers are willing to pay 9% of the order value for 2-hour delivery this year, up from just 6% the previous year.

Executive summary

Seeing the light: The beginning of the end of the cost-of-living crisis?

Although the cost-of-living crisis continues to impact consumer sentiment, things are slowly improving. However, consumers still seek discounts, both online and in-store. Private-label sales are on the rise as consumers look for more affordable options.

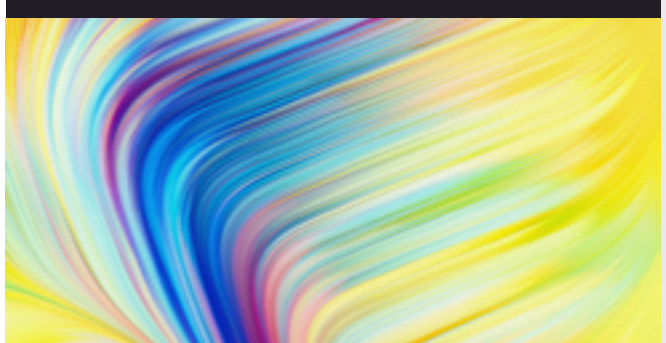
- 64% of shoppers visit multiple physical stores looking for deals, up from 56% last year.
- Currently, 65% of consumers buy private-label or low-cost brands, up from 63% last year.
- 73% of millennials expect retailers to provide alerts when brands reduce the weight of a product without reducing the price ('shrinkflation').

The grass is greener: Why consumers are switching brands

- 70% of consumers globally switch to try new brands. Another major reason for switching brands, as stated by 65% of consumers, was that membership programs and shared preference data failed to result in a better experience.
- Two-thirds of consumers will switch food brands for higher nutrition scores.

To remain competitive, brands and retailers must augment Gen AI tools to become more consumer-centric, use technology to boost resilience and sustainability and lower prices, leverage social and retail media networks as a keyway to engage and influence early in the consumer journey, and bridge the gap in consumer education and trust with transparent collaboration across all partners.

Who should read this report and why?



This report will be particularly helpful to chief executive officers, chief marketing officers, chief information officers, chief technology officers, chief sustainability officers, and chief data officers from the consumer product and retail sector, for those involved with for AI and Gen AI, innovation and analytics, consumer experience, supply chain and social commerce.

This report is the fourth in our annual research series that examines evolving consumer behaviors. It is based on:

- **Findings from a comprehensive global survey of 12,000** consumers aged 18 and over across 12 countries: Australia, Canada, France, Germany, India, Italy, Japan, the Netherlands, Spain, Sweden, the UK, and the US.
- **Cluster analysis** of the 12,000 consumers to understand the key demographic and behavior characteristics of the clusters. We used the K-means (K = number of clusters) algorithm, an unsupervised learning technique, to group consumers and identified five distinct behavior clusters based on the sub-themes on which questions were asked in the global consumer survey.

To learn more about the cluster analysis, please refer to the cluster analysis description.

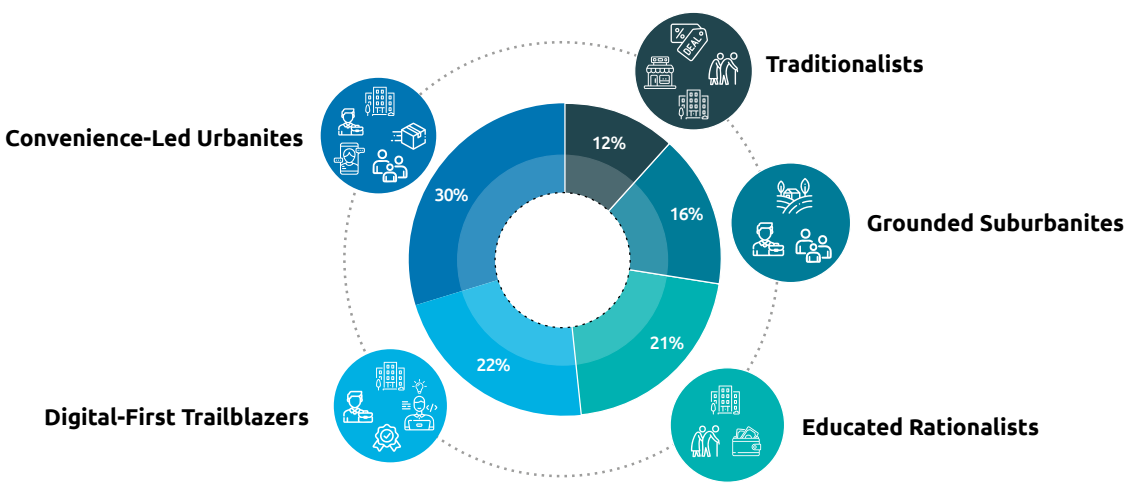


01 Consumer clusters: A new way to categorize buyer behaviors

We identified five distinct behavior clusters based on the sub-themes on which questions were asked in the consumer survey:

- Usage of Gen AI
- Social media influence
- Sustainability impact
- Online advertisements
- Cost of living
- Loyalty
- (Last-mile) convenience

Figure 1.
Consumer trends clusters



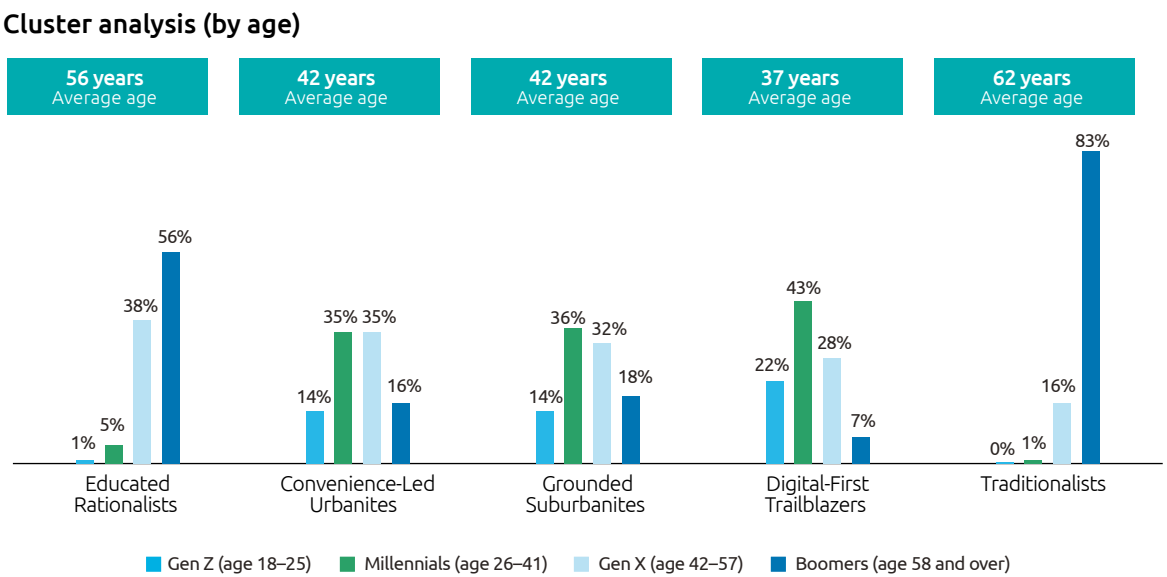
Source: Capgemini Research Institute, Consumer Demand survey, October–November 2024, N = 12,000 consumers; Educated Rationalists cluster = 2,462 consumers; Convenience-Led Urbanites cluster = 3,556 consumers; Grounded Suburbanites cluster = 1,912 consumers; Digital-First Trailblazers cluster = 2,660 consumers; Traditionalists cluster = 1,410 consumers.

The Gen Z consumers are present in three different clusters and exhibit different behaviors. (Figure 2). The purpose of clustering is to divide a set of data points into broadly homogeneous groups.

Each cluster presents unique opportunities for targeted marketing strategies, reflecting their distinct lifestyles and priorities. We created a cluster analysis and used the K-means algorithm (K = number of clusters). This is an unsupervised learning technique to group data points. The algorithm operates as follows:

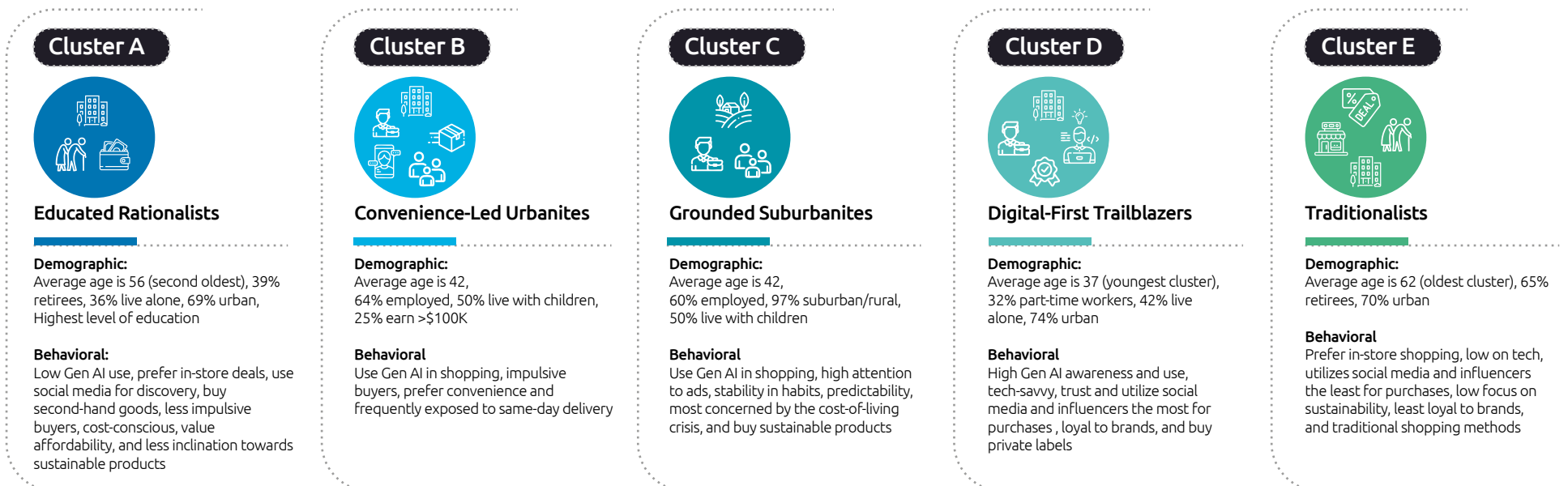
- Randomly initialize K points, referred to as means or cluster 'centroids.'
- Categorize each item to its nearest mean and update the mean's coordinates, which are the averages of the items categorized in that cluster.
- Repeat the process for a specified number of iterations to obtain the finalized clusters.

Figure 2.
Cluster segmentation by age groups



Source: Capgemini Research Institute, Consumer Demand survey, October–November 2024, N = 12,000 consumers.

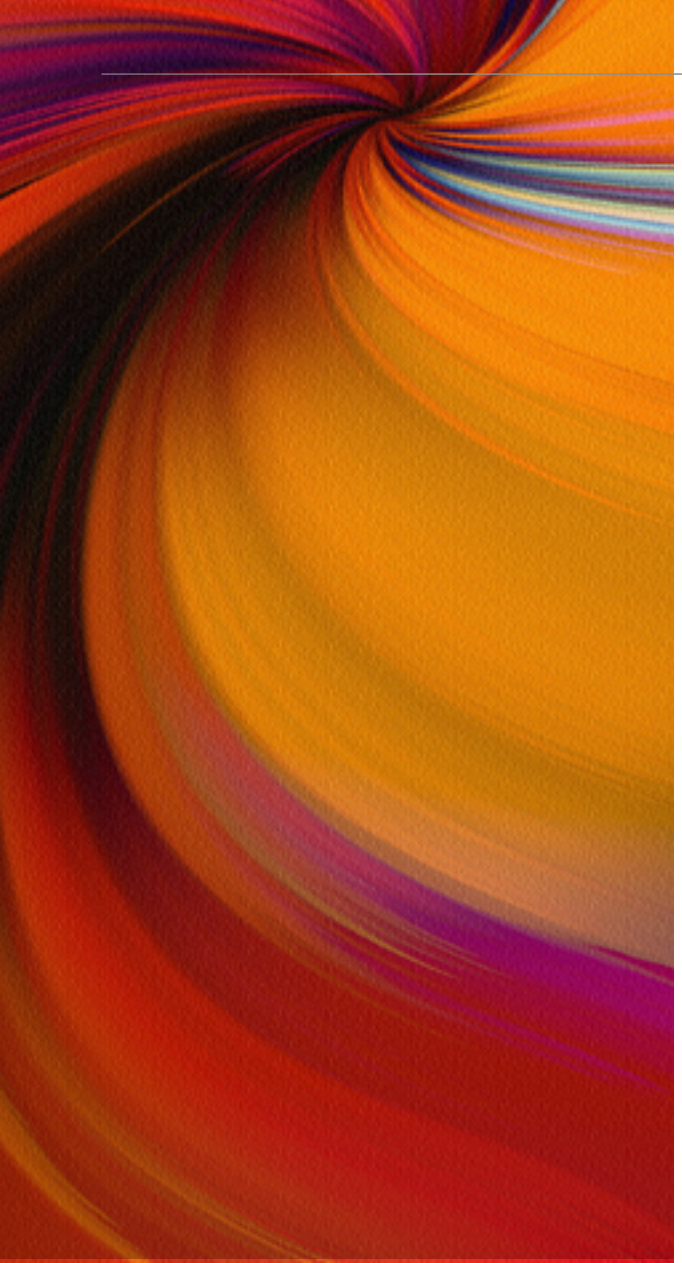
Figure 3.
Cluster segmentation by demography and behavioral attributes



Source: Capgemini Research Institute, Consumer Demand survey, October–November 2024, N = 12,000 consumers; Educated Rationalists cluster = 2,462 consumers; Convenience-Led Urbanites cluster = 3,556 consumers; Grounded Suburbanites cluster = 1,912 consumers; Digital-First Trailblazers cluster = 2,660 consumers; Traditionalists cluster = 1,410 consumers.



02 Paths to discovery: How the consumer finds products is changing



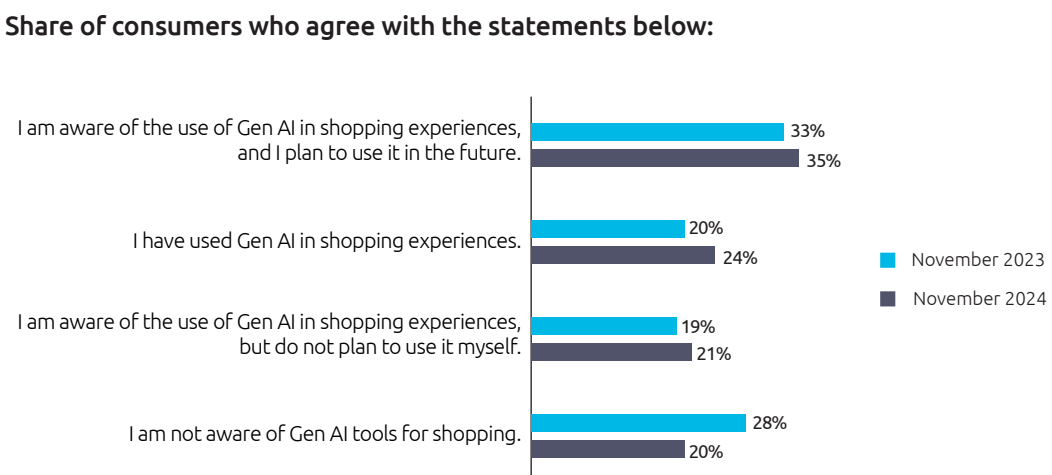
Gen AI gains traction with the consumer

One-quarter of consumers have used Gen AI in shopping

Gen AI is driving innovation in both online and in-store experiences. AI (including Gen AI) in the retail market will have a market size of around $85 billion by 2032.[1] Yael Cosset, CIO and SVP, Kroger, says: *"I believe Gen AI is already impacting and will continue to impact the grocery industry broadly and in a transformational way. We continue to use AI and Gen AI across the business for improvements such as more relevant creative marketing content, better search outcomes on digital platforms, greater personalization for customers, easier solutions for our associates, and many more areas. Like all technology, we view AI as a resource for our customers and associates to improve our human connections, not replace them."*[2]

Around one-quarter (24%) of consumers used Gen AI in shopping experiences, compared with 20% last year. This figure is higher, at 45%, for Gen Z (age 18–25), 41% for millennials (age 26–41), and 25% for Gen X (age 42–57) and boomers (age 58 and over) combined. Younger consumers, particularly Gen Z and millennials, use Gen AI in shopping, indicating a shift toward tech-savvy retail experiences. This trend suggests that brands should adapt to meet the needs of these digital natives, while older generations may require more exposure and assistance to engage fully.

Figure 4.
One-quarter of consumers have used Gen AI in shopping



Source: Capgemini Research Institute, Consumer Demand survey, October–November 2024, N = 12,000 consumers, Capgemini Research Institute, ***What matters to today's consumer***, January 2024.

51%

of Digital-First Trailblazers cluster have used Gen AI in shopping experiences



The Digital-First Trailblazers cluster is by far the most likely to use Gen AI in shopping experiences, at 51%, with other clusters ranging from 5% to 22%. We note that 74% of this cluster lives in urban areas and has the lowest average age across all clusters at 37. This cluster has reshaped its shopping behaviors in response to the cost-of-living crisis and searches extensively for discounts online and in-store (figure 5).

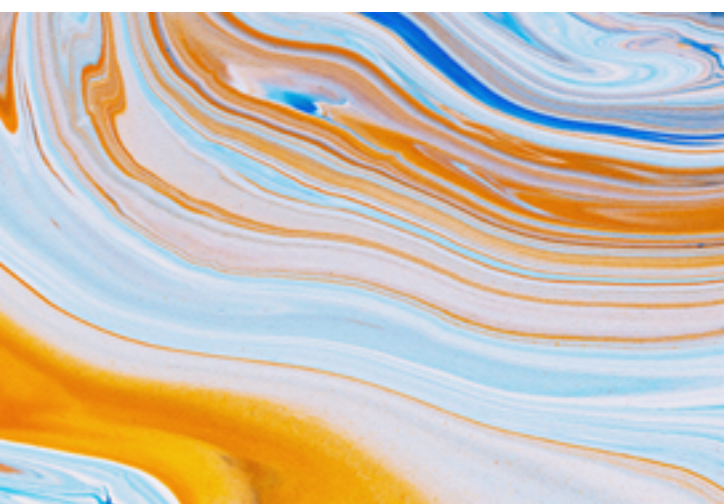
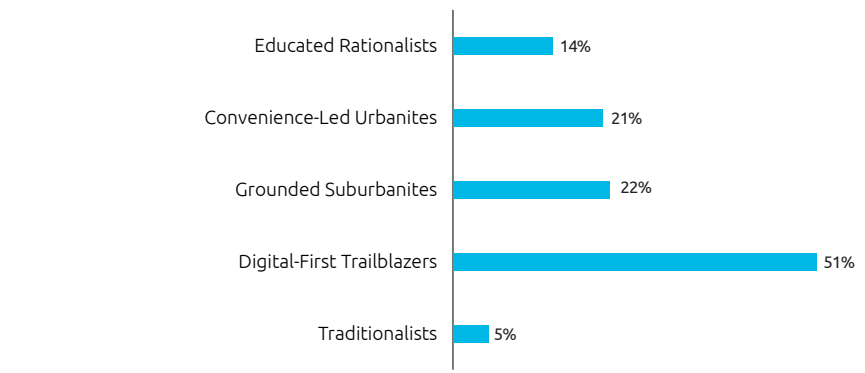


Figure 5.
Just over half of Digital-First Trailblazers have used Gen AI in online shopping



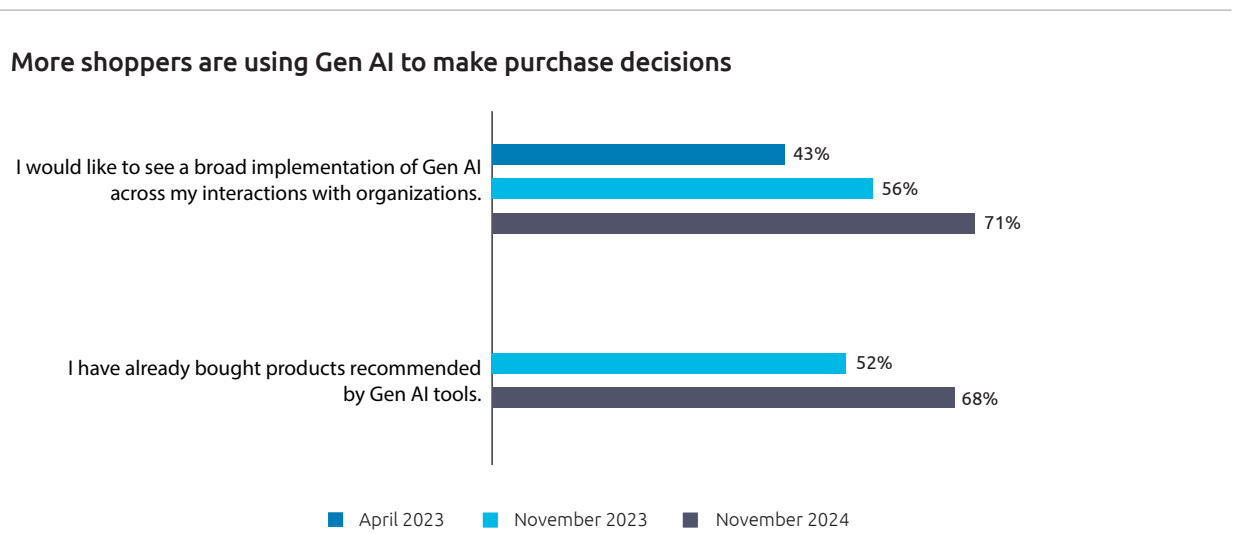
Source: Capgemini Research Institute, Consumer Demand survey, October–November 2024, N = 12,000; N = 2,909 consumers who are aware of the use of Gen AI in shopping experiences and have used it already; Educated Rationalists cluster = 336 consumers; Convenience-Led Urbanites cluster = 745 consumers; Grounded Suburbanites cluster = 412 consumers; Digital-First Trailblazers cluster = 1,348 consumers; Traditionalists cluster = 68 consumers.

Three-quarters of consumers are open to Gen AI shopping recommendations

As consumer trust in Gen AI grows, they expect to see its influence on their shopping experiences. In a notable response, Walmart has opened access to a Gen AI tool that allows shoppers to search by specific use case, theme, or idea.[3]

Three-quarters (75%) of consumers are open to Gen AI recommendations, compared with 63% last year. An impressive 71% of consumers would like to see Gen AI integrated into their shopping interactions, compared with 56% last year. This year, we also see that 68% have bought products recommended by Gen AI recommendations, compared with 52% last year (figure 6).

Figure 6.
68% of consumers have purchased on Gen AI recommendations



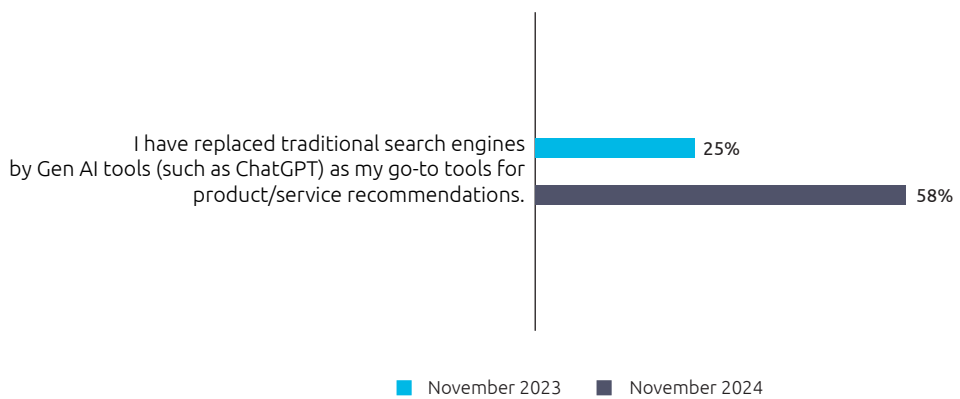
Source: Capgemini Research Institute, Consumer Demand survey, October–November 2024, N = 12,000, N = 2,909 consumers who have used Gen AI in shopping experiences, Capgemini Research Institute, *What matters to today's consumer*, January 2024.

Nearly 60% of consumers have already replaced traditional search engines by Gen AI tools for product recommendations

Nearly half (46%) of consumers say they are enthusiastic about the impact of Gen AI on their online shopping, with 58% saying they have replaced search engines by Gen AI tools for product recommendations. Moreover, 68% of consumers want Gen AI tools to aggregate search results from online search engines, social media platforms, and retailers' websites to provide a one-stop-shop for highlighted purchase options.

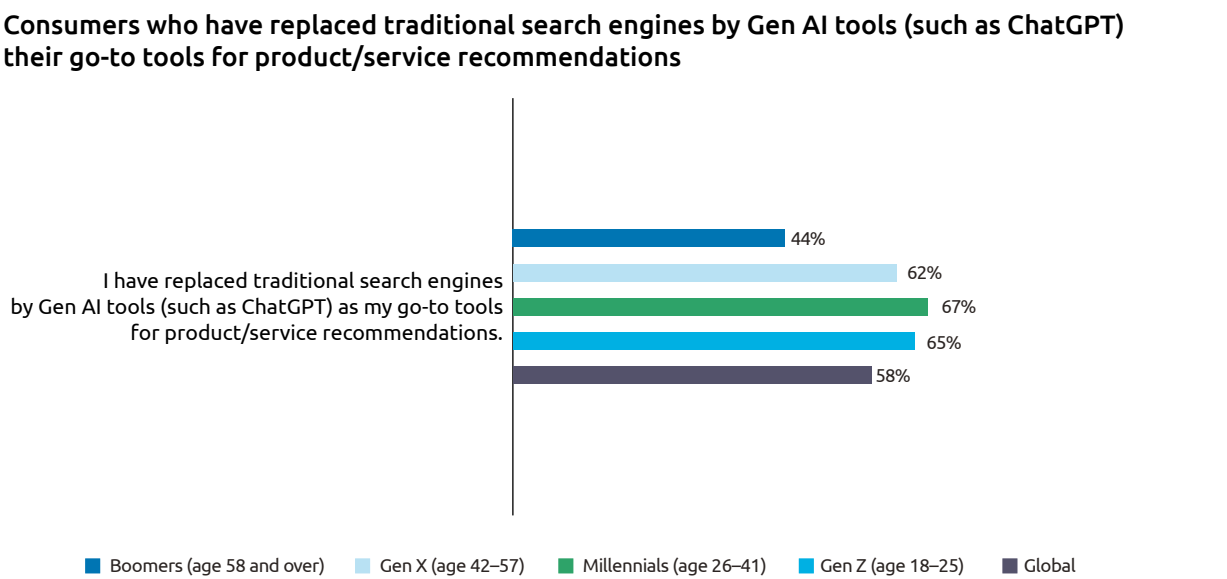
Figure 7.
58% of consumers have replaced traditional search engines with Gen AI

Consumers who have replaced traditional search engines by Gen AI tools (such as ChatGPT) their go-to tools for product/service recommendations



Source: Capgemini Research Institute, Consumer Demand survey, October–November 2024, N = 12,000 consumers, Capgemini Research Institute, *What matters to today's consumer,* January 2024.

Figure 8.
58% of consumers have replaced traditional search engines by Gen AI tools



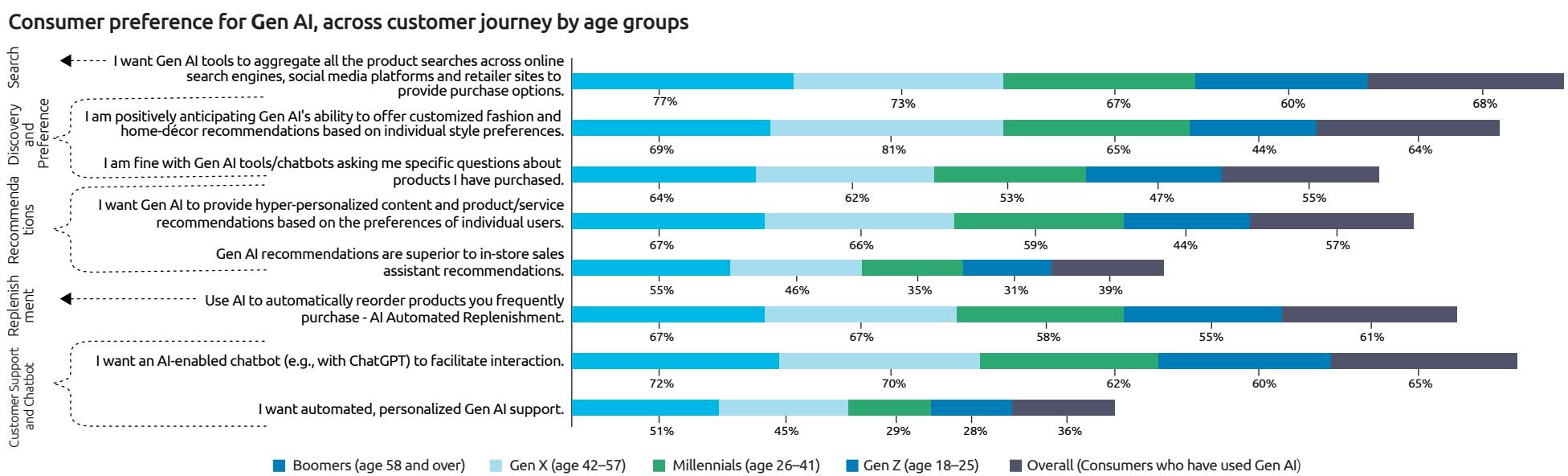
Source: Capgemini Research Institute, Consumer Demand survey, October–November 2023, N = 11,681 consumers, Capgemini Research Institute, Consumer Demand survey, October–November 2024, N = 12,000 consumers: 1,394 Gen Z consumers; 3,219 Millennial consumers; 3,757 Gen X consumers; 3,630 Boomer consumers.

Gen Z (51%) and millennials (45%) want automated, personalized, real-time Gen AI customer support, as do 36% of consumers overall. The desire for chatbots with features such as ChatGPT is high across all age groups, with 72% of Gen Z and 70% of millennials expressing interest. Overall, 65% of consumers want rapid verbal responses from AI chatbots, highlighting the growing consumer acceptance of advanced conversational AI in customer service (figure 9).

Consumers show a strong interest in AI-driven automated replenishment, with 67% of both Gen Z and millennials supporting this feature. Overall, 61% of consumers suggest that automated reordering systems could significantly boost convenience. Walmart's AI-driven "InHome Replenishment" system leverages Gen AI to analyze shopping habits, ensuring essential items are automatically restocked, enhancing customer convenience and inventory management.[4]

A notable 67% of Gen Z and 66% of millennials want hyper-personalized content and product recommendations. Overall, a still-strong 57% of consumers are interested in this feature, with 64% of Gen Z and 62% of millennials comfortable with Gen AI tools asking personal questions to get there, with 55% overall accepting this engagement as part of the shopping experience.

Figure 9.
Consumer preference for Gen AI across different stages of shopping



Source: Capgemini Research Institute, Consumer Demand survey, October–November 2024, N = 12,000 consumers; 1,394 Gen Z consumers; 3,219 Millennial consumer; 3,757 Gen X consumers; 3630 Boomer consumers.



Increased Gen AI usage is not meeting needs as consumer satisfaction has reduced

Consumers are fast accepting Gen AI as an integral part of the shopping experience. The usage of chatbots for customer queries increased from 36% last year to 43%. Carrefour has launched Hopla, a Gen AI-powered chatbot based on ChatGPT, and integrated it into the Carrefour website for France to help with daily shopping, offering recommendations based on budget, dietary requirements/ allergies, and menu ideas.[5] Interest in virtual "try-on" experiences also saw a significant jump, from 31% to 39%. Gen Z (40%) and millennials (42%) show a higher inclination toward visualizing products before purchase, while boomers lag significantly at 26%.

However, overall satisfaction with Gen AI is moderate to low and has fallen in various areas compared with last year (figure 10). For example, in tailored loyalty programs, it has dropped from 37% to 30%, with millennials (24%) particularly disillusioned). The highest satisfaction level is reported for automated support responses (40%) and post-purchase and personalized follow-ups (37%). The areas where satisfaction levels have reduced are highlighted in the chart below.

68%

of consumers want Gen AI tools to aggregate all the product searches across online search engines, social media platforms and retailer sites to provide purchase options